

25STCV06579 25STCV06579

County: los-angeles

Division: Civil Law and Motion

Department: 309

Hearing date: 2026-08-24

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C309%2C08%2F24%2F2026

Source SHA-256: 8538b6108260f19935356caeb68ebad0c69118d11e3f9e9fe713f4fa2f45338d

Case Number: 25STCV06579 Hearing Date: August 24, 2026 Dept: 309

Superior Court of California

County of Los

Angeles

DEPARTMENT 309

TENTATIVE RULING

SHAOXING HUANYI TEXTILE CO.

LTD

vs.

ARGO TEXTILE, INC., et al.

Case

No.: 25STCV06579

Hearing Date: August 24, 2026

Defendants'

demurrer is SUSTAINED, WITH 20 DAYS LEAVE TO AMEND.

Accordingly, the

motion to strike is MOOT.

On 3/7/2025, Plaintiff Shaoxing

Huanyi Textile Co. (Plaintiff) initiated this action. On 9/22/2025, Plaintiff filed a first amended complaint (FAC). On 6/1/2026, Plaintiff filed a second amended complaint (SAC) against Argo Textile, Inc., Formosa Fabric, Inc., Tsu Ching Liu, and Matt Liu (collectively, Defendants), alleging: (1) breach of contract; (2) account stated; (3) common counts; (4) fraud; (5) conversion; (6) theft; (7) unjust enrichment; (8) constructive trust; (8) declaratory relief; and (10) unlawful business practices.

On 6/26/2026, Defendants demurred to the SAC. Defendants also moved to strike portions of Plaintiff's SAC.

Discussion

Defendants argue that Plaintiff's SAC remains insufficiently pled and ambiguous.

After review, the Court agrees.

As to the first cause of action, the attached invoices are insufficient because:

No copies of orders have been provided. Between merchants, an order may supply essential terms which become a part of the contract upon seller's acceptance. (See, for example, Commercial Code §2207.) Plaintiff not only fails to supply or summarize terms of orders, but fails to document from which Defendant(s) each order was received. Already, Plaintiff's invoices present a discrepancy between their content and the allegations of ¶120, the invoices and their summary chart bearing only the name of Formosa Fabric, Inc., while ¶120 asserts orders were received "from FLIU and MLIU at ARGO and FORMOSA", and further asserts that the invoices were "presented...to FLIU, ARGO, and FORMOSA". The invoices further do not appear to contain on their face all essential terms, including but not limited to no terms regarding how and when payment thereon is to be made. These missing terms are further not stated verbatim in the pleading nor according to their legal effect, and no dates when each amount invoiced became due are listed in Plaintiff's summary chart. It would appear that missing payment terms (essential in this case to an understanding of when applicable statutes of limitations thereon would run) must either be contained within the omitted purchase orders, or were agreed to in some form unstated by the Complaint (i.e., orally, through course of

conduct, or through some other unidentified writing). Rather than straightforwardly pleading precise payment terms, or listing precise dates when payments fell due for each of the numerous transactions, Plaintiff avoids mention of the subjects, presumably to avoid the effect limitations periods would have on invoices so far out of date (long past four years before filing of this action).

(Motion, 4:11- 5:6.)

The Court will afford Plaintiff a single additional opportunity to set forth allegations of payment terms and due dates applicable to each respective transaction and the precise source of agreement to same by each Defendant.

This deficiency also renders the second and third causes of action defective.

As for the fourth cause of action, Defendants argue that the fraud allegations are even more uncertain because the SAC removes an allegation that misrepresentations were made “from 2018 to February 2021,” and now states such time period as only that of demands by Plaintiff for payment of allegedly outstanding invoices. No specific “when” date is provided for any actual representations by any Defendant.

As for the fifth cause of action, Defendants argue that the claims remain uncertain as “[b]oth ¶20 and ¶65 contend, inconsistent with a conversion claim, that goods were ordered and shipped by Plaintiff as regular sale transactions, invoiced for per Exhibit A, and payments were received by Plaintiff. Such actions are in the nature of sale, not a wrongful conversion, and a mere failure of payment may not be transmuted into a tortious act to sustain a conversion cause through ignoring the transfer of ownership and possession rights arising from the conduct of sale.” (Motion, 15: 18-24.) The Court agrees.

As for the sixth cause of action for theft, Plaintiff’s claim remains based on information and belief and fails to describe within this claim any specific acts by which respective Defendants allegedly converted goods “for their own use and benefit” (adding this time nothing but the allegation of the ordering and receiving of the textiles referenced in Exhibit A and ultimately not paying

therefor.)

As for the seventh cause of action, Defendants argue that this claim fails because it is not a recognized cause of action in California. Indeed, a quasi-contract action for unjust enrichment does not lie where the parties' rights are defined by an express agreement. (California Medical Assn., Inc. v. Aetna U.S. Healthcare of California, Inc. (2001) 94 Cal.App.4th 151, 172; Lance Camper Manufacturing Corp. v. Republic Indemnity Co. (1996) 44 Cal.App.4th 194, 203.) Here, Plaintiff does not address this defect in the SAC.

Finally, as for the eighth, ninth, and tenth cause of action, Defendants argue these are derivative of the other causes of action and thus are necessarily insufficiently pled. Given that the Court has sustained the demurrer to each of the other causes of action, the Court agrees.

Based on the foregoing, Defendants' demurrer is sustained, with 20 days leave to amend. Plaintiff will have one final opportunity to address the deficiencies identified herein.

It is so ordered.

Dated:
August , 2026

Hon. Jon R. Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must send an email to the court at by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the

tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.